

2.7 WAGE PAYMENT METHODS

Multiple Choice Questions

1991/CE/II/08

Private tuition is usually paid for by time rates because

- A. the incentive to work is stronger.
- B. better examination results are guaranteed.
- C. the tuition fee is less.
- D. the output is difficult to measure.

1991/CE/II/22

The employment of part-time workers on Sundays enables Chinese restaurants

- A. to reduce their fixed costs
- B. to enjoy economies of scale
- C. to increase the labour productivity in a less costly way
- D. to meet the higher-than-normal demand in a less costly way

1994/CE/II/18

Instead of receiving only a fixed monthly salary, hotel waiters in Hong Kong generally earn a low basic monthly salary and receive tips from customers. To the hotel owners, which of the following is an advantage of the latter method of payment compared to the former method?

- A. It is easier to calculate the output of the waiters.
- B. Fewer waiters are needed.
- C. There is a better relationship among the waiters.
- D. The waiters provide better service.

1995/CE/II/17

Secondary school teachers in Hong Kong are in general paid by time rates because

- (1) the tasks of a teacher are not standardized
 - (2) the output cannot be easily measured
 - (3) there is a higher incentive to work
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1996/CE/II/16

An employer has changed the method of payment to his employees and observed the following results:

	Old System	New System
Output per worker (per day)	200	300
Output with quality below standard	20	50

Most probably the old system is _____ and the new system is _____.

- A. time rate piece rate
- B. piece rate time rate
- C. a profit sharing scheme time rate
- D. piece rate a profit sharing scheme

1998/CE/II/17

Private piano teachers are usually paid at an hourly rate instead of a piece rate. Which of the following statements are true?

- (1) They tend to work longer hours.
 - (2) They are not encouraged to rush through more music pieces in a lesson.
 - (3) Their output is difficult to measure.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

1999/CE/II/13

Mr Law is a full-time teacher in an aided secondary school in Hong Kong. He is a _____ producer and he is paid using a _____ method.

- A. secondary time rate
B. secondary piece rate
C. tertiary time rate
D. tertiary piece rate

1999/CE/II/51

Assume that the payment system of some civil servants is changed from time rate to piece rate. This change will **NOT** result in

- A. an increase in their income.
B. an improvement in the quality of their work.
C. an increase in the monitoring and supervision cost of their work.
D. an increase in the quantity of work completed by them.

2000/CE/II/15

Refer to the staff recruitment advertisements below:

<u>ABC Company</u> Mail Assistant Requirements: Age: 20 to 30 Male/female Salary: \$8 000 per month plus \$5 for each delivery of letter/parcel	<u>XYZ Company</u> Mail Assistant Requirements: Age: 20 to 30 Male/female Salary: \$12 000 monthly
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- A. The cost of measuring wage payment is higher in the XYZ Company
B. The working incentive of mail assistants is higher in the XYZ Company
C. The income of a mail assistant is higher in the ABC company.
D. The cost of supervision is lower in the ABC company.

2002/CE/II/16

Under the previous wage payment system, Mrs Chan found that her workers were lazy. Now, she has adopted another wage payment system under which the quantity as well as the quality of the output of her firm has been raised. This improvement could be due to the fact that the previous wage payment system was _____ and the present one is _____.

- A. piece rate time rate
B. piece rate profit-sharing
C. time rate piece rate
D. time rate profit-sharing

2003/CE/II/18

A factory owner has changed the method of payment to his workers and observes a higher labour productivity of his workers, but a lower quality of output. Most probably the old payment system is _____ and the new payment system is _____.

- A. time rate piece rate
- B. piece rate time rate
- C. profit sharing scheme time rate
- D. piece rate profit sharing scheme

2006/CE/II/16

Suppose the wage payment system of the salesmen employed in ABC Company changes as follows :



It results in

- A. a lower cost of calculating the wage payments.
- B. a lower cost of monitoring the salesmen's performance.
- C. a lower income for the salesmen.
- D. a lower quality of services provided by the salesmen.

2009/CE/II/18

Whose employer would have the highest cost in monitoring the performance of his work?

- A. an office clerk who is paid with a fixed monthly salary
- B. a property agent who is paid through commission
- C. a tourist guide who is paid with tips
- D. a movie star who shares the profit with his film producer

2012/DSE/I/07

Some property agencies pay their employees a basic salary plus commission because

- (1) it can increase the working incentive of the employees.
- (2) it can transfer part of the business risk to the employees.
- (3) the cost of calculating wages is lower.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2013/DSE/I/07

Teachers in secondary schools are usually paid by time rate because

- A. this can improve their work incentive.
- B. they prefer a stable income.
- C. most teachers are hardworking.
- D. it is costly to measure their outputs.

2021/DSE/I/07

The salespersons in a luxury brand product shop are paid with the following arrangement.

Monthly salary:	HK\$12 000
Target bonus:	Bonus will be given when sales target is attained.

From the viewpoint of the shop, which of the following are possible reasons of the above arrangement instead of time rate only?

- (1) The salespersons' productivity will be higher.
- (2) The cost of monitoring service quality will be lower.
- (3) There is a possibility of earning a higher monthly salary.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2025/DSE/I/08

Suppose the wage payment system of the salespersons in a health product company changes as follows:

Salary: \$30 000 per month



Salary: \$15 000 per month plus 20% of contribution to sales revenue

Which of the following statements about the above change in the wage payment system is/are correct?

- (1) The company's total cost of employing salespersons will decrease.
- (2) The working incentive of the salespersons will decrease.
- (3) Part of the business risk is shifted to the salespersons.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1), (2) and (3)

2016/DSE/I/10

Which of the following is most likely to be paid on a piece-rate basis?

- A. a newspaper columnist
- B. a primary school teacher
- C. a fireman
- D. a bus driver

Short & Structured Questions

1990/CE/I/1(a)(iii)

Mrs Wong is a lawyer and is also good at doing housework, but she employs a Filipino maid to do her housework.

Give **TWO** reasons why Filipino maids are paid by time rates instead of piece rates. (4 marks)

1992/CE/I/1(c)

Suppose a taxi owner employs a driver to provide a taxi service and shares the total revenue with the driver. Suggest and explain **ONE** advantage and **ONE** disadvantage of this payment method to the taxi owner. (6 marks)

1993/CE/I/1(d)

Yummy Yummy is a fast food shop. The manager of 'Yummy Yummy' is paid a fixed monthly salary and shares part of the profits. Give **ONE** advantage of **EACH** of the above two payment methods to the shop. (4 marks)

1996/CE/I/12(b)

Piece rate is a common payment method in the manufacturing industry. From an employer's point of view, explain **ONE** advantage and **ONE** disadvantage of this payment method. (4 marks)

1998/CE/I/11(a)

Car agents in general pay their salesmen a commission for each car sold in addition to their basic monthly salary.

From the viewpoint of car agents, explain **TWO** advantages of using such a wage payment method. (4 marks)

1999/CE/I/3

Study the following two advertisements:

Company A	Company B
Lorry Driver Wanted	Lorry Driver Wanted
Wage: \$10 000 per month	Wage: \$200 per trip

Name the two types of wage payment method and give **ONE** advantage of **EACH** over the other from the viewpoint of the employer. Explain your answer. (6 marks)

2001/CE/I/9(c)

Mr Chan is the owner of a garment factory and pays his workers at piece rate. State **ONE** advantage and **ONE** disadvantage to Mr Chan of using this payment method over the time rate method. (2 marks)

2002/CE/I/12(b)(i)

In order to cut expenses, Mr Wong reduces the monthly salaries of the staff working in the bookstore.

Give **ONE** advantage and **ONE** disadvantage to Mr Wong of paying his staff by time rate over piece rate. (4 marks)

2007/CE/1/2

Refer to the following job descriptions of Post A and Post B.

Post A Typing clerk Working hours: 9:00am. - 5:00pm. 5 days a week Wage: \$8 000 per month	Post B Typing services Transforming documents into WORD files Payment: \$4 per A4 paper (about 200 words)
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- (a) What are the wage payment methods for Post A and Post B, respectively? (2 marks)
- (b) Explain **ONE** disadvantage to the employer when using the wage payment method in
- (i) Post A. (2 marks)
- (ii) Post B. (2 marks)

2008/CE/1/9(c)

Some employees of securities firms (證券行) are paid a basic salary plus commission.
Give **TWO** advantages of such a payment method over time rate to the *employers*.

(4 marks)

2009/CE/1/4

Refer to the following descriptions of Job A and Job B.

Job A Distilled water delivery driver Payment: \$1 per unit of distilled water delivered	Job B Distilled water delivery driver Wage: \$300 per day
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- (a) The wage payment method for Job A is _____. (1 mark)
- The wage payment method for Job B is _____. (1 mark)
- (b) Explain **ONE** advantage and **ONE** disadvantage to the *employer* of using the wage payment method for Job A over Job B. (4 marks)

2010/CE/1/3

The salespersons in many large electrical appliance retailing shops are paid a basic salary plus commission. From the viewpoint of the shop owners, explain **ONE** advantage of using this wage payment method over the payment method of a basic salary only and **ONE** advantage over the payment method of a commission only. (4 marks)

2013/DSE/II/10(b)

The following is a job advertisement for a manager in a restaurant.

Manager Working hours: 12:00 noon – 10:00 p.m. 6 days a week Salary: \$15 000 per month + performance-related bonus

- (i) From the viewpoint of the restaurant owner, explain **ONE** advantage of the above payment method over time rate. (2 marks)
- (ii) From the viewpoint of the manager, explain **ONE** advantage of the above payment method over a profit-sharing scheme. (2 marks)

2015/DSE/II/10(b)

The following are contracts for two professional football players.

Contract A Player A: \$10 000 per week	Contract B Player B: \$8 000 per match \$10 000 for each goal scored
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Explain **TWO** advantages of Contract B over Contract A from the viewpoint of the employer.

(4 marks)

2017/DSE/II/2(a)

Steven is a restaurant owner. He pays his waiters a monthly salary and allows them to keep the tips from customers.

Compared to time rate, explain why the above arrangement is preferred from the viewpoint of

- (i) the employees.
- (ii) the employer.

(4 marks)

2018/DSE/II/10(a)

Foreign domestic helpers are paid with a minimum wage at HK\$4410 per month for a two-year contractual period in Hong Kong.

Explain why foreign domestic helpers are paid by a monthly salary instead of a piece rate.

(2 marks)

2019/DSE/II/9

A beauty queen in Hong Kong, Miss Amy Au, is famous for demonstrating the use of cosmetic products with short videos on social media websites. She also sells Japanese cosmetic products on her website.

She plans to hire two staff members to operate her website:

Personal assistant	Video designer
Duties: Arrange daily schedules and meetings	Duties: Produce short videos to be uploaded in social media
Salary: \$12000 per month	Salary: \$1000 per video

- (c) From the viewpoint of Miss Amy Au, suggest **ONE** advantage and **ONE** disadvantage of the payment method of the personal assistant. (2 marks)
- (d) From the viewpoint of the employee, suggest **ONE** advantage and **ONE** disadvantage of the payment method of the video designer. (2 marks)

The following is the advertisement of an online food delivery firm for recruiting riders.

Riders Wanted !!!	
	
<u>Earn great money</u> • High salary for each delivery! • Keep 100% tips from customers	<u>Bring your own equipment</u> • A smartphone • A motorcycle with the necessary safety equipment

- (a) From the viewpoint of the riders, state **TWO** disadvantages of the above arrangements. (2 marks)

2022/DSE/II/10d

The Olympic Games attract billions of international television viewers to watch the competitions among thousands of top athletes.

Some professional athletes receive a monthly salary and share a proportion of the prize money whenever they win in competitions.

- (d) Instead of paying the athletes a monthly rate only, explain why some employers of professional athletes use the above wage payment arrangement. (2 marks)

2023/DSE/II/10(e)

In 2022, the Hong Kong Financial Secretary announced the issuance of Silver Bonds for citizens aged 60 or above to subscribe. The nominal interest rate of the Silver Bonds is equal to the actual inflation rate in Hong Kong, subject to a minimum of 4%.

- (e) The Financial Secretary is paid a fixed monthly salary.
A teacher says, 'It is impossible to pay the Financial Secretary with a piece rate,' Justify the teacher's statement. (2 marks)

2024/DSE/II/11(a)

Ann is the owner of a coffee shop in Hong Kong.

- (a) Ann is recruiting a new barista to prepare beverages for customers in her coffee shop. She is considering the following two wage payment methods.

Wage Payment Method A	Wage Payment Method B
– \$14 000 per month – The barista is allowed to receive tips from customers	– \$15 000 per month – The barista is NOT allowed to receive tips from customers

From the viewpoint of the barista, state **ONE** advantage and **ONE** disadvantage of wage payment method A over wage payment method B. (2 marks)